Oxford Cambridge and RSA Examinations

GCE

Economics

H460/03: Themes in economics

A Level

Mark Scheme — Predicted Paper (Moderate)

MARKING INSTRUCTIONS

These are the marking instructions for the predicted paper. Use them in conjunction with the question paper. Alternative correct answers and unexpected approaches should be given marks that fairly reflect the relevant knowledge and skills demonstrated.

INSTRUCTIONS TO EXAMINERS:

A: INDIVIDUAL ANSWERS

- The indicative content indicates the expected parameters for candidates' answers but be prepared to recognise and credit unexpected approaches where they show relevance.
- Using 'best fit', decide first which set of BAND DESCRIPTORS best describes the overall quality of the answer. Once the band is located, adjust the mark concentrating on features of the answer which make it stronger or weaker following the guidelines for refinement.
- Be prepared to use the full range of marks.

B: TOTAL MARKS

- The maximum mark for the paper is 80.
- The quality of the extended response is assessed on parts of the question paper identified with the use of an asterisk (*). The assessment of this skill is embedded within each of the levels of response, and it must be considered when determining the mark to be awarded within the appropriate level.

Levels of Response / Level Descriptors

Level	Knowledge (AO1)	Application (AO2)	Analysis (AO3)	Evaluation (AO4)
Strong	Precise knowledge and understanding of economic ideas, principles, and models.	Ability to apply economic ideas to a specific context, using relevant and focussed examples fully integrated and good use of data where appropriate.	Correct analysis with consistently well-developed links through a coherent chain of reasoning which addresses the question. Any relevant diagram(s) are accurate with no significant errors.	Counter argument(s) are fully developed. A conclusion is drawn weighing up both sides, considering extent and alternatives and reaches a supported judgement.
Good	Mainly accurate knowledge and understanding of economic ideas, principles, and models.	Ability to apply economic ideas to a specific context, using some relevant and focussed examples to the given context and scope of the question.	An explanation of causes and consequences, developing most of the links in the chain of argument. Any relevant diagram(s) are predominantly correct.	Counter argument(s) are fully developed. A conclusion is drawn weighing up both sides/comparing alternatives but without reaching a supported judgement.
Reasonable	Awareness of the meaning of economic ideas, principles, and models.	Ability to apply economic ideas to some elements of the given context, although possibly inconsistent examples not always relevant to the given context.	There is correct analysis in the form of single links. These address the question but are not developed into a clear chain of reasoning. Any relevant diagram(s) may have errors that affect the validity of the analysis.	Counter arguments are considered but not fully developed. Some attempt to conclude, which shows some recognition of the influencing factors, but without considering extent and alternatives.
Limited	Limited awareness of the meaning of economic ideas, principles, and models.	Very little ability to apply economic ideas to some elements of the given context. Examples may be generic or irrelevant to the given context.	There is little evidence of reasoning that addresses the question asked. Simple statement(s) of cause and consequence are	Counter arguments are simply stated. Unsupported statements or assertions, or no evaluation.

			used. Absence of relevant diagram(s) or diagram(s) which have errors that significantly affect the validity of the analysis.	

SECTION A

Multiple Choice Answer Key

Question	Answer	Question	Answer
1	B	16	B
2	D	17	B
3	B	18	C
4	C	19	A
5	B	20	D
6	B	21	A
7	B	22	C
8	B	23	B
9	B	24	A
10	C	25	A
11	D	26	C
12	A	27	B
13	A	28	C
14	C	29	A
15	C	30	A

Section A — Rationale

Q	Key	Rationale	AO
1	**B**	**A** Goods are the output produced using factors of production, not a factor itself. **B Correct:** Labour is one of the four factors of production (land, labour, capital, enterprise). **C** Money is a medium of exchange used to purchase factor services; it is not itself a factor of production. **D** Services are produced using factors of production and are outputs, not factors.	AO1
2	**D**	**A** Incorrectly uses MPC instead of calculating the multiplier. **B** Incorrectly calculated using an MPC of 0.75 on the wrong formula. **C** Incorrect calculation. **D Correct:** Multiplier = 1/(1 − MPC) = 1/(1 − 0.75) = 4. Final increase = £200bn × 4 = £800bn.	AO2
3	**B**	**A** Cigarettes are a demerit good due to overconsumption and negative externalities. **B Correct:** Education generates positive externalities and consumers tend to under-value its long-term benefits — the definition of a merit good. **C** National defence is a public good (non-excludable and non-rival), not a merit good. **D** Street lighting is a public good (non-excludable and non-rival), not a merit good.	AO1
4	**C**	**A** Raising income tax is contractionary fiscal policy. **B** Raising interest rates is contractionary monetary policy, not fiscal policy. **C Correct:** Reducing corporation tax boosts firms' post-tax profits and incentive to invest, shifting AD to the right — expansionary fiscal policy. **D** Reducing the money supply is contractionary monetary policy.	AO1
5	**B**	**A** Sign is correct but the magnitude is wrong — this would imply a 25% fall in QD. **B Correct:** PED = %ΔQD / %ΔP = −4% / +10% = −0.4. Demand is price inelastic. **C** PED is negative for normal downward-sloping demand, not positive. **D** Sign and magnitude both incorrect.	AO2
6	**B**	**A** This is productive efficiency, not allocative efficiency. **B Correct:** Allocative efficiency occurs where the price consumers pay (AR) equals the marginal cost of production (MC = AR), ensuring resources are allocated to their most valued uses. **C** This is profit maximisation, not allocative efficiency. **D** P > MC indicates allocative inefficiency with underproduction.	AO1
7	**B**	**A** This describes economies of scale, not economies of scope. **B Correct:** Economies of scope arise when the average cost of producing multiple related products together is lower than producing them separately, e.g. a supermarket selling both food and household goods. **C** Diseconomies relate to rising costs, not joint production. **D** The MES is a related but distinct concept — the lowest output at which LRAC is minimised.	AO1
8	**B**	**A** Many small firms is a feature of perfect or monopolistic competition. **B Correct:** High entry barriers and interdependence (each firm's decisions affecting rivals) are defining characteristics of oligopoly. **C** Oligopolists often sell differentiated goods and spend heavily on	AO1

		advertising. **D** Perfect information characterises perfect competition, not oligopoly.	
9	**B**	**A** A shortage would occur only if the minimum wage were below equilibrium. **B Correct:** A minimum wage set above equilibrium raises quantity supplied and reduces quantity demanded, creating an excess supply (unemployment). **C** Demand for labour falls, not rises, as the wage increases. **D** Employment falls because firms demand less labour at the higher wage.	AO3
10	**C**	**A** Incorrect division instead of multiplication. **B** This would be the revenue at an exchange rate of £1 = $1.00. **C Correct:** Revenue in USD = £500,000 × 1.25 = $625,000. **D** Incorrect exchange rate applied.	AO2
11	**D**	**A** AC = AR represents the break-even level of output (normal profit). **B** AR = MR only holds under perfect competition, not monopoly. **C** MC = AR is the allocatively efficient output. **D Correct:** All firms (including monopolists) maximise profit where MC = MR.	AO1
12	**A**	**A Correct:** Unit labour cost = wage / productivity = £15 / 40 = £0.375. **B** This is the original unit labour cost (£15 / 30). **C** Incorrect calculation. **D** Incorrect — higher productivity lowers unit labour cost.	AO2
13	**A**	**A Correct:** A lower school leaving age expands the pool of working-age people, shifting labour supply outwards. **B** A smaller working-age population reduces labour supply. **C** MRP shifts the demand for labour, not supply. **D** Greater trade union power may reduce the effective labour supply at any given wage.	AO3
14	**C**	**A** Economic growth is related to unemployment via Okun's law, not the Phillips curve. **B** This describes the fiscal deficit, not the Phillips curve. **C Correct:** The Phillips curve shows a short-run trade-off between unemployment and inflation. **D** GDP and unemployment are related through Okun's law.	AO1
15	**C**	**A** If PEDs are inelastic, the current account will initially worsen following appreciation. **B** The current account is affected in the short run. **C Correct:** With inelastic demand, import spending rises and export revenue falls in domestic currency, worsening the current account (the reverse J-curve effect). **D** A balanced current account is not an automatic outcome.	AO3
16	**B**	**A** A proportional tax takes the same percentage from all incomes. **B Correct:** A progressive tax takes a higher percentage of income as income rises — the marginal tax rate rises with income here. **C** A regressive tax takes a higher percentage of low incomes. **D** This is a direct income tax, not an indirect tax.	AO1
17	**B**	**A** VAT on essential goods is regressive and would widen income inequality. **B Correct:** Raising the personal allowance benefits low earners proportionally more, reducing income inequality. **C** Lower corporation tax benefits shareholders, who tend to be wealthier,	AO3

		worsening inequality. **D** Reducing the top rate benefits the highest earners, widening inequality.	
18	**C**	**A** Consumers bear a smaller share when demand is price-inelastic. **B** Consumer surplus rises with a subsidy as price falls. **C Correct:** When demand is relatively inelastic, the producer captures the larger share of the subsidy incidence; price falls less than the subsidy per unit. **D** Price will fall, though by less than the per-unit subsidy.	AO3
19	**A**	**A Correct:** Government expenditure (G) is an injection into the circular flow. **B** Imports are a leakage. **C** Savings are a leakage. **D** Taxation is a leakage.	AO1
20	**D**	**A** This describes irrationality in consumer choice, not the free rider problem. **B** This is market power, not the free rider problem. **C** This describes negative externalities, not the free rider problem. **D Correct:** The free rider problem occurs when consumers benefit from a non-excludable good without paying, leading to market failure in public goods provision.	AO1
21	**A**	**A Correct:** In the long run under perfect competition, firms making losses exit until remaining firms earn normal profit. **B** Losses cannot persist indefinitely under perfect competition as firms have free exit. **C** New entrants arrive in response to supernormal profit, not losses. **D** Exit raises industry price; price does not fall further.	AO3
22	**C**	**A** A single uniform price is not price discrimination. **B** Different prices by time is second-degree or third-degree depending on context. **C Correct:** First-degree (perfect) price discrimination charges each consumer their individual maximum willingness to pay, extracting all consumer surplus. **D** Discounts for bulk buying is second-degree price discrimination.	AO1
23	**B**	**A** Consumers pay higher prices because of the tariff, so they lose out. **B Correct:** Domestic producers benefit from higher prices and gain market share as imports become more expensive. **C** Foreign producers face reduced export volumes and a lower effective price. **D** Importers face higher costs, squeezing their margins.	AO3
24	**A**	**A Correct:** Cash in a current account is the most liquid as it is immediately accessible for spending. **B** Government bonds must be sold in the market before the proceeds can be spent. **C** Shares in a private company are very illiquid and may take significant time to sell. **D** Time deposits require notice, reducing their liquidity.	AO1
25	**A**	**A Correct:** A minimum price above equilibrium leads quantity supplied to exceed quantity demanded — an excess supply. **B** Producer surplus on units actually sold rises, though some firms may produce more than they can sell. **C** Shortages arise from price ceilings, not floors.	AO3

		D Consumer surplus falls because consumers pay more.	
26	**C**	**A** Advertising is a standard competitive practice, not inherently anti-competitive. **B** Investment in technology is procompetitive. **C** **Correct:** Predatory pricing involves setting prices below cost to drive out rivals, and is an abuse of market power. **D** Training employees is not anti-competitive.	AO1
27	**B**	**A** Consumer confidence shifts AD, not LRAS. **B** **Correct:** Higher labour productivity raises the productive potential of the economy, shifting LRAS to the right. **C** Higher wages raise costs and shift SRAS inwards, not LRAS. **D** Higher raw material prices shift SRAS inwards.	AO3
28	**C**	**A** The Gini coefficient measures inequality, not used in HDI. **B** Infant mortality appears in composite indices such as HPI, not HDI. **C** **Correct:** HDI uses life expectancy at birth (health dimension), mean/expected years of schooling (education), and GNI per capita (living standards). **D** Unemployment is not part of HDI.	AO1
29	**A**	**A** **Correct:** The closer the Lorenz curve is to the 45° line of perfect equality, the more equal the distribution of income. **B** A curve closer to the line of equality indicates less inequality, not more. **C** The Lorenz curve shows income distribution, not total GDP. **D** Same as C — no direct implication for GDP level.	AO3
30	**A**	**A** **Correct:** Primary income records investment income, including interest, profits and dividends earned on assets held abroad. **B** Secondary income records transfers such as foreign aid and remittances. **C** Trade in goods records physical merchandise. **D** Trade in services records service exports and imports.	AO1

SECTION B

Question 31

Question	Answer	Marks	Guidance
31	**Using the data in Extract 1, calculate UK government spending on the rail network as a proportion of UK GDP in 2022/23. Show your working.** Award 2 marks for correct answer: Spending on rail = £24.3bn UK GDP = £2,275bn (24.3 / 2,275) × 100 = 1.07%	2	Accept 1.07% (or 1.1%). Award 1 mark for correct working with wrong final answer. Award 1 mark if % symbol is missing.

Question 32

Question	Answer	Marks	Guidance
32	**Explain, using the information in Extract 1, one reason why customer satisfaction scores in the UK rail industry may have declined between 2013 and 2023.** Award 1 mark for knowledge/identification (e.g. regional monopoly, unregulated fares, lack of competition). Award up to 2 marks for development of the reason. Example: Each firm operates as a regional monopoly (1) so consumers have no choice of supplier on most routes (1) which gives operators reduced incentive to maintain quality or service levels, leading to falling satisfaction scores (1). Other valid reasons: - Rising fares faster than wages reducing perceived value for money. - Unregulated fares on half of ticket sales not controlled by the ORR. - Collapse of franchises suggesting operational/financial instability. - Reduced investment under some private operators.	3	AO1 (knowledge) max 1 mark. AO2 (application) 2 marks. Must link to data/context from Extract 1 for full marks.

Question 33*

Evaluate, using an appropriate diagram and the information in Extract 1, whether a natural monopoly such as the rail network should be owned and operated by the public sector. [15]

Level / Mark	Descriptor
Level 3 (11–15 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Good application of economic concepts to the context and scope of the question, or some good use of data where appropriate. Strong analysis of the question characterised by consistently well-developed chains of reasoning; relevant diagram(s) which are accurate, integrated into the response and have no errors that affect the validity of the analysis. Strong evaluation of different perspectives on the question characterised by well-developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a logical and well supported judgement.
Level 2 (6–10 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Reasonable application of economic concepts to some elements of the given context and scope of the question, although possibly inconsistent or not always relevant. Reasonable analysis of the question characterised by undeveloped chains of reasoning in the form of single links; relevant diagram(s) which have errors that affect the validity of the analysis or are not integrated into the response. Reasonable evaluation of different perspective(s) on the question characterised by some developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; an unsupported judgement.
Level 1 (1–5 marks)	Reasonable knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Limited application of economic concepts to some elements of the given context and scope of the question. Use of data may be generic or irrelevant. Limited analysis of the question characterised by reasoning that lacks a clear structure and / or does not address the question; simple statement(s) of cause and consequence; absence of relevant diagram(s) or diagram(s) which have errors / omissions that significantly affect the validity of the analysis. Limited evaluation of different perspective(s) on the question characterised by simple statement(s) related to counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a stated judgement, or the absence of a judgement.
0 marks	Response is not worthy of credit.

Guidance

The side of the argument presented first should be credited as Analysis with the other side credited as Evaluation.

Relevant diagrams:

A natural monopoly cost diagram showing LRAC continuously falling over the relevant range of output, with the allocatively efficient output (where MC = AR) below AC (making a loss), and the profit-maximising output (MC = MR) above AC. A candidate may also show a diagram comparing single-firm and multi-firm average costs to illustrate loss of economies of scale under competition.

Indicative Content

Knowledge

- Natural monopoly
- Public and private ownership (privatisation/nationalisation)
- Allocative, productive and dynamic efficiency
- Market failure and government failure

Application

- Application to Economic ideas: linking natural monopoly to efficiency; the role of profit motive in delivering dynamic efficiency.
- Application to Extract 1: Rail spending £24.3bn, subsidies £11.9bn, GDP £2,275bn.
- Application to Extract 1: Passenger numbers rose from 735m (1995) to 1,739m (2019).
- Application to Extract 1: Customer satisfaction fell from 83% (2013) to 76% (2023).
- Application to Extract 1: Fares rose faster than wages; unregulated fares half of sales.
- Application to Extract 1: Franchise collapses (East Coast, Northern Rail).
- Application to Extract 1: Williams-Shapps Plan proposed Great British Railways.

Analysis

- Analysis for public ownership: Public sector can produce at the allocatively efficient level (P = MC) with government covering any losses, raising consumer surplus.
- Analysis for public ownership: Removes duplication and incentivises full exploitation of economies of scale — potentially producing at lower average cost than multiple franchises.
- Analysis for public ownership: Avoids profit extraction as dividends (as seen in other utilities); revenues can be reinvested.
- Analysis for private ownership: Profit motive incentivises x-efficiency, cost cutting and dynamic efficiency (innovation, new rolling stock).
- Analysis for private ownership: Competition for the market (franchise bidding) can drive innovation, even if within-market competition is limited.
- Analysis for private ownership: Government avoids the cost of renationalisation (buying out franchises) and large capital investment burdens.

Evaluation

- Private firms may still under-produce and over-price (MC = MR) compared with the socially optimal level (MC = AR).
- Supernormal profits may be paid as dividends to shareholders rather than reinvested — a problem highlighted in extracts on other utilities.
- Public sector production risks x-inefficiency due to lack of profit motive and weaker incentives to innovate.
- Public sector firms may be subject to political interference — short-term pricing decisions may dominate long-term investment planning.
- Effective regulation (e.g. by the ORR and GCA) may allow a privately-run natural monopoly to achieve outcomes close to those of public ownership at lower risk of government failure.
- Contestability of the market (franchise bidding) limits the exercise of monopoly power even with private ownership.

Judgements might include:

- Depends on the level/effectiveness of regulation (e.g. ORR's fare capping powers).
- Depends on whether government subsidises private firms to produce at the allocatively efficient point.
- Depends on the ability to attract high-quality management and investment finance in public sector.
- Depends on evidence: rising passenger numbers may suggest the status quo works; declining satisfaction suggests it does not.

Question 34

Question	Answer	Marks	Guidance
34	**Using the data in Fig. 2.1, calculate the percentage point change in the Bank of England base rate between December 2021 and December 2023.** Award 1 mark for identifying correct figures: December 2021 = 0.25%, December 2023 = 5.25% Award 1 mark for correct calculation: 5.25 − 0.25 = 5.00 percentage points Award 1 mark for correctly identifying as a rise/increase of 5.00 percentage points.	3	Accept 5 percentage points as full marks if clearly expressed as a change. Do NOT accept percentage change (2000%) — the question specifies percentage points. Maximum of 2 marks if direction of change is omitted.

Question 35

Question	Answer	Marks	Guidance
35	**Using Fig. 2.1 and information in Extract 2, identify evidence that suggests higher interest rates may have been effective in reducing UK inflation.** Award 1 mark for identifying a change in the data. Award 1 mark for supporting evidence (figures). Examples: - CPI inflation fell from peak of 11.1% in October 2022 to 4.0% in December 2023 (1+1). - House prices fell by 4.8% in 2023 (1) following the bank rate rising to 5.25% (1). - New mortgage approvals fell by 33% between 2021 and 2023 (1+1), showing monetary transmission working via the housing market. - Housebuilding starts fell 44% in Q4 2023 vs Q4 2022 (1+1).	2	1 mark for relationship (cooling of prices/demand following higher rates). 1 mark for use of data from Fig. 2.1 or Extract 2.

Question 36*

Evaluate, using the information in Extract 2, whether the Bank of England's decision to raise the bank rate sharply between 2021 and 2023 was the best policy response to rising inflation. [15]

Level / Mark	Descriptor
Level 3 (11–15 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Good application of economic concepts to the context and scope of the question, or some good use of data where appropriate. Strong analysis of the question characterised by consistently well-developed chains of reasoning; relevant diagram(s) which are accurate, integrated into the response and have no errors that affect the validity of the analysis. Strong evaluation of different perspectives on the question characterised by well-developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a logical and well supported judgement.
Level 2 (6–10 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Reasonable application of economic concepts to some elements of the given context and scope of the question, although possibly inconsistent or not always relevant. Reasonable analysis of the question characterised by undeveloped chains of reasoning in the form of single links; relevant diagram(s) which have errors that affect the validity of the analysis or are not integrated into the response. Reasonable evaluation of different perspective(s) on the question characterised by some developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; an unsupported judgement.
Level 1 (1–5 marks)	Reasonable knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Limited application of economic concepts to some elements of the given context and scope of the question. Use of data may be generic or irrelevant. Limited analysis of the question characterised by reasoning that lacks a clear structure and / or does not address the question; simple statement(s) of cause and consequence; absence of relevant diagram(s) or diagram(s) which have errors / omissions that significantly affect the validity of the analysis. Limited evaluation of different perspective(s) on the question characterised by simple statement(s) related to counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a stated judgement, or the absence of a judgement.
0 marks	Response is not worthy of credit.

Guidance

The side of the argument presented first should be credited as Analysis with the other side credited as Evaluation.

Indicative Content

Knowledge

- Interest rates and the monetary transmission mechanism
- Demand-pull vs cost-push inflation
- Alternative policy instruments (fiscal, supply-side, QT)
- Aggregate demand/aggregate supply

Application

- Application to Extract 2: inflation peaked at 11.1% in October 2022.
- Application to Extract 2: Bank rate rose from 0.1% (Dec 2021) to 5.25% (Aug 2023).
- Application to Extract 2: 1.6 million households due to remortgage in 2024.
- Application to Extract 2: UK built only 210,000 new homes vs 300,000 target.
- Application to Extract 2: House prices fell 4.8% in 2023.
- Application to Extract 2: Mortgage approvals fell 33% between 2021 and 2023.

Analysis

- Higher interest rates raise the reward for saving, reducing consumption as households save more.
- Higher rates raise mortgage repayments, reducing discretionary income and consumption.
- Higher rates increase the cost of borrowing for firms, reducing investment.
- Higher rates attract hot money inflows, appreciating sterling, lowering import prices and reducing AD — particularly important for imported-cost inflation.
- Evidence suggests transmission is working: inflation fell from 11.1% to 4.0%, mortgage approvals down 33%, house prices down 4.8%.

Evaluation

- Much of the inflation was cost-push (energy, supply-chain shocks) — raising interest rates does not directly address supply-side inflation and risks damaging output and employment (stagflation risk).
- With ~75% of mortgages on fixed rates, the monetary transmission mechanism has long lags — the full effect takes years to feed through.
- Blunt instrument: hurts borrowers and the 1.6 million households remortgaging disproportionately while asset-owning wealthy households benefit less.
- Could have used alternative instruments: targeted fiscal measures, supply-side policies (e.g. housing supply), or a more gradual tightening path.
- Risk of over-tightening tipping the economy into recession (housebuilding starts fell 44%).
- Delayed action: the MPC was slow to raise rates — had it acted earlier, smaller rises might have been sufficient.

Judgements might include:

- Depends on the cause of inflation (demand-pull vs cost-push).
- Depends on expectations management — a credible commitment to the 2% target matters.
- Depends on what fiscal and supply-side policies are used alongside.
- Depends on whether gradual or sharp adjustment leads to better outcomes.
- Depends on what other central banks are doing globally (exchange rate effects).

Question 37

Question	Answer	Marks	Guidance
37	**Using Fig. 3.1, compare the change in teacher recruitment and real-terms pay between 2010 and 2023.** Award 1 mark for similarity in trends. Award 1 mark for difference in trends. Examples: - Both recruitment (% of target) and real-terms pay fell between 2010 and 2023 (1). - Recruitment fell much more sharply (108% to 50% — a fall of 58 percentage points) than pay (index 100 to 87 — a fall of 13 points) (1). - The fall in both is consistent with reduced supply of teachers.	2	1 mark for similarity; 1 mark for difference. Full marks require reference to the whole period 2010–2023. No need to quote exact figures if description of pattern is clear.

Question 38

Evaluate, using the information in Extract 3, whether teachers' pay is likely to rise significantly in the next few years. [8]

Level / Mark	Descriptor
Level 2 (5–8 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Good application of economic concepts to the context and scope of the question, or some good use of data where appropriate. Strong analysis of the question characterised by consistently well-developed chains of reasoning; relevant diagram(s) which are accurate, integrated into the response. Strong evaluation of different perspectives on the question characterised by well-developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a logical and well supported judgement.
Level 1 (1–4 marks)	Reasonable knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Reasonable application of economic concepts to some elements of the given context and scope of the question, although possibly inconsistent or not always relevant. Reasonable analysis of the question characterised by undeveloped chains of reasoning in the form of single links; relevant diagram(s) which have errors. Limited evaluation of different perspective(s) on the question characterised by simple statement(s) related to counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a stated judgement or the

	absence of a judgement.
0 marks	Response is not worthy of credit.

Guidance

Indicative Content

Knowledge

- Labour demand and supply
- Monopsony
- Trade unions and collective bargaining
- Wage determination in public sector

Application

- Application to Extract 3: DfE missed secondary school teacher recruitment target by 50%.
- Application to Extract 3: 32% leave within 5 years of qualifying.
- Application to Extract 3: NEU has 450,000 members and organised 8 days of strikes.
- Application to Extract 3: 13% real-terms pay cut 2010–2023 (IFS).
- Application to Extract 3: STRB recommended 6.5% rise in 2023.
- Application to Extract 3: Government is monopsony employer.
- Application to Extract 3: Classroom teacher salary £41,500 vs £47,200 in private sector graduate jobs.

Analysis

- Falling supply of qualified teachers (recruitment at 50% of target; 32% exit rate) at a time of rising demand suggests upward pressure on wages.
- Trade union activity (NEU strikes, large membership) may push wages up through collective bargaining.
- The graduate pay gap with private sector (£41,500 vs £47,200) creates pressure on government to raise wages to retain staff — MRP argument.
- Teacher training is long (undergraduate degree + 1-year PGCE + induction) creating a barrier to entry → supply is inelastic and real wages need to rise to attract entrants.

Evaluation

- Government is a monopsony employer — it can resist wage pressure and set wages below the competitive equilibrium.
- Fiscal constraints: the 2023 6.5% pay rise had to come from existing school budgets, suggesting limited government willingness to fund further rises.
- No formal qualification barrier to become a teacher (beyond degree) means supply could recover in the future.
- Other public sector pay deals create precedent — if other groups accept lower deals, teachers may too.
- Inflation falling could reduce nominal pay pressure.
- Success of union activity depends on political and public response to strikes.

Judgements might include:

- Depends on future inflation and real wage context.
- Depends on the elasticity of supply of teachers.
- Depends on government fiscal priorities and the state of public finances.
- Depends on effectiveness of strike action and political pressure.
- Short-run rises likely (e.g. 6.5% in 2023) but large real-terms rises unlikely without significant funding reform.

ASSESSMENT OBJECTIVES GRID

Question	**AO1**	**AO2**	**AO3**	**AO4**	**TOTAL**	**Quantitative Skills**
Section A Total	15	7	8		30	(13)
31		2(2)			2	(2)
32	1	2			3	
33*	2(2)	3(2)	4(2)	6(2)	15	(8)
34	2(2)	1(1)			3	(3)
35	1(1)	1(1)			2	(2)
36*	2	3	4	6	15	
37		2(2)			2	(2)
38	1	1	2	4	8	
Section B Total	9	15	10	16	50	(17)
Paper Total	24	22	18	16	80	(30)